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DTB | DIAMOND TRUST BANK

DTB Bank Kenya HY'25 Earnings Note

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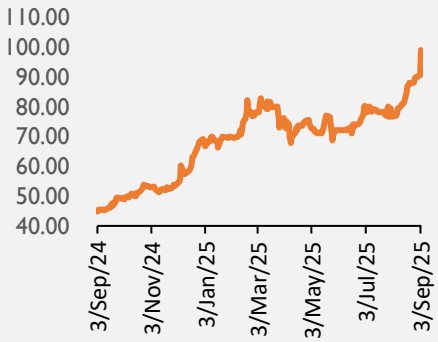


DTB Bank HY'25 Earnings Note

September 4th, 2025

Ticker Information	
NSE Code:	DTK
Issued Shares (Bn):	0.28
52-week high:	KES 99.00
52-week low:	KES 43.05

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	18.3%	21.6%	14.9%	100.9%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	**KES 99.50**	**KES 109.69**

Summary

- **Diamond Trust Bank Group (DTB) posted a 9.7% y/y growth in profit after tax (PAT) to KES 5.37Bn in H1'2025, up from KES 4.86Bn in H1'2024**. The performance was largely supported by an 11.8% y/y expansion in net interest income to KES 15.86Bn, driven by an expanding loan book of 7.7% y/y to KES 288.47Bn. However, non-funded income dipped 5.0% y/y to KES 6.07Bn, dragged by a steep 41.3% contraction in FX trading income, partly reflecting calmer currency markets. Fees and commissions provided some buffer, rising 15.7% y/y to KES 1.16Bn. On the cost side, operating expenses grew modestly by 3.7% y/y, while loan loss provisions declined by 10.5% y/y to KES 3.24Bn.

Key Highlights

- **Income Drivers:** Net interest income climbed 11.8% y/y to KES 15.86Bn, anchored by a 7.7% expansion in the loan book as DTB deepened sectoral lending, particularly to education and agribusiness. However, earnings from government securities eased 5.5% y/y to KES 12.02Bn, reflecting a deliberate shift away from lower-yielding paper as the bank recalibrated its portfolio amid changing rate dynamics. Non-funded income contracted 5.0% y/y to KES 6.07Bn, largely on account of a 41.3%y/y slump in FX trading income to KES 1.53Bn, with a relatively stable shilling muting volatility gain. This was cushioned by a 15.7%y/y rise in fees and commissions to KES 1.16Bn, underpinned by a fast-growing digital customer base that has now more than doubled across the region. DTB's earnings trajectory was primarily supported by robust net interest income and lower credit provisions, though efficiency pressures from rising operating costs and softer non-interest income remain key areas to monitor.
- **Asset Quality:** Gross non-performing loans rose 5.2% y/y to KES 40.61Bn, indicating persistent stress in certain borrower segments. The gross NPL ratio edged down marginally by 0.3% points to 13.3%, supported by loan book expansion, but the NPL coverage ratio slipped to 40.6% from 44.4% in HY'2024, on the back of declining provisioning by 5.6%y/y to KES 15.49 Bn.

Balance Sheet Dynamics

DTB's balance sheet expanded steadily, with total assets rising 4.5% y/y to KES 611.51 Bn from KES 585.36 Bn in HY'2024. The uplift was largely anchored by a sharp pivot in investment securities, where holdings of held-to-maturity (HTM) instruments nearly doubled (+93.6% y/y to KES 145.54 Bn), reflecting the bank's strategy to lock in stable yields in a softening rate environment. Conversely, available-for-sale (AFS) securities contracted by 68.2% y/y to KES 35.88 Bn, suggesting deliberate reallocation away from more volatile exposures. The loan book showed a healthier trajectory, expanding 7.7% y/y to KES 288.47 Bn, in line with renewed credit appetite as rates eased compared to 2024's tighter cycle.

On the funding side, customer deposits advanced 11.9% y/y to KES 483.17 Bn, outpacing loan growth and easing the loan-to-deposit ratio to 59.7% from 62.0%. This improvement underscores growing liquidity buffers, though it also highlights the bank's conservative lending stance amid evolving credit risks.

We see room for further balance sheet optimization into H2'2025 as management balances credit growth with portfolio reallocation.

Outlook

We remain constructive on DTB's growth, anchored by its strong regional presence and resilient balance sheet. The bank is well positioned to capture opportunities in SME and trade finance, supported by cross-border flows and deep corporate relationships. Deposit growth of 11.9% y/y and an expanding CASA base should help keep funding costs contained.

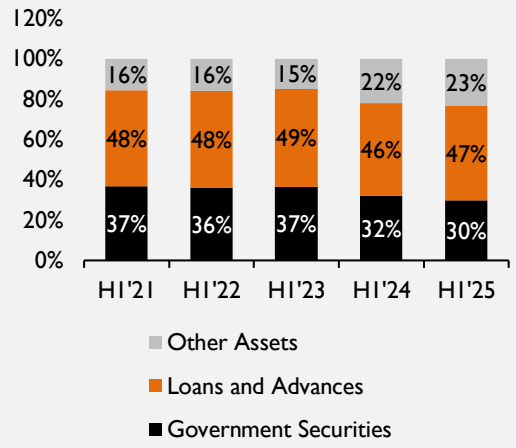
Loan growth momentum is expected to accelerate in H2 2025 as lending rates ease, while Non-Funded Income from trade finance, forex, and remittances remains a key revenue driver. Asset quality is likely to remain robust, with the Gross NPL ratio expected to stay below the industry average of 17.6%.

Digitization and self-service platforms are set to drive efficiency, expand reach, and support margin expansion. Regionally, subsidiaries in Tanzania, Uganda, and Burundi provide upside from trade flows and financial inclusion. Going forward, disciplined execution, digital acceleration, and regional diversification position DTB to outperform the industry.

Recommendation

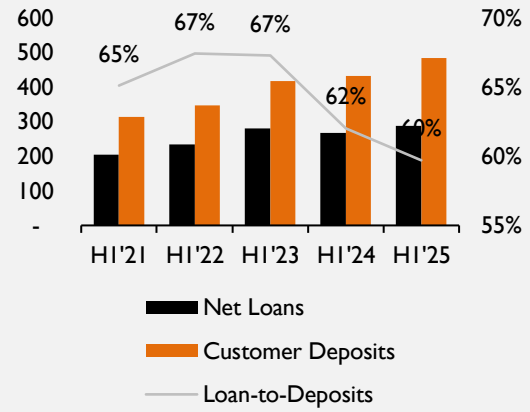
- **We upgrade our recommendation on DTB to *BUY*, anchored on its regional expansion and strong digitalization drive.** At the current market price, the stock is trading at P/E ratio of 3.1x and a P/B ratio of 0.3x. Our one-year target price for DTB currently stands at KES 109.69- representing a c 10.2% upside potential from current levels.

Chart 2: Asset Composition



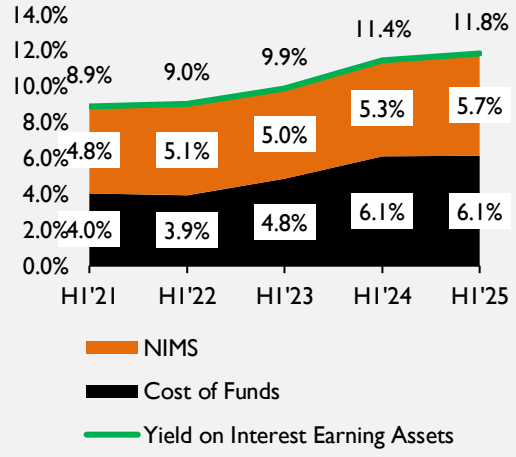
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Expanding Net Interest Margins



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Bn)	HY'21	HY'22	HY'23	HY'24	HY'25	y/y % Change
Net Interest Income	9.82	11.13	13.11	14.19	15.86	▲ 11.7%
Net non-Interest Income	3.32	3.92	5.55	6.39	6.07	▼ (5.0%)
Total Operating income	13.15	15.05	18.66	20.58	21.93	▲ 6.6%
Provision for Impairment	(2.31)	(2.43)	(3.26)	(3.62)	(3.24)	▼ (10.4%)
Total Operating expenses	(8.27)	(9.37)	(12.70)	(14.23)	(14.75)	▲ 3.7%
Profit before tax	4.88	5.62	6.02	6.27	7.18	▲ 14.5%
Profit after tax	3.15	3.96	4.36	4.86	5.37	▲ 10.5%
Annualized EPS	22.53	28.30	31.17	34.75	38.41	▲ 10.5%

Balance Sheet (KES Bn)	HY'21	HY'22	HY'23	HY'24	HY'25	y/y % Change
Government Securities	157.59	174.68	211.58	188.10	181.42	▼ (3.5%)
Loans and Advances	204.33	233.62	281.17	267.86	288.47	▲ 7.7%
Total Assets	429.58	485.04	579.22	585.36	611.51	▲ 4.5%
Customer Deposits	313.80	346.49	417.99	431.91	483.17	▲ 11.9%
Total Liabilities	357.45	408.43	496.59	501.10	510.75	▲ 1.9%
Shareholder's Funds	65.36	68.89	72.44	74.64	90.31	▲ 21.0%

Ratio Analysis	HY'21	HY'22	HY'23	HY'24	HY'25	y/y % Change
Spreads Analysis						
Yield on Assets	8.9%	9.0%	9.9%	11.4%	11.8%	▲ 0.4%
Cost of Funds	4.0%	3.9%	4.8%	6.1%	6.1%	▲ 0.0%
Net Interest Margin	4.8%	5.1%	5.0%	5.3%	5.7%	▲ 0.4%
ROaE	6.4%	7.8%	10.2%	11.3%	11.3%	▲ 0.0%
ROaA	1.0%	1.1%	1.4%	1.4%	1.6%	▲ 0.1%
Profit Margin	24.0%	26.3%	23.4%	23.6%	24.5%	▲ 0.9%
Operating Efficiency						
Cost to Income Less LLP	45.3%	46.1%	50.6%	51.6%	52.5%	▲ 0.9%
Cost to Assets Less LLP	1.4%	1.4%	1.6%	1.8%	1.9%	▲ 0.1%
Loan to Deposit Ratio	65.1%	67.4%	67.3%	62.0%	59.7%	▼ (2.3%)
Asset Quality						
Gross NPL Ratio	10.4%	12.9%	12.3%	13.6%	13.3%	▼ (0.2%)
NPL Coverage	41.8%	44.2%	46.4%	44.4%	40.6%	▼ (3.8%)
Cost of Risk	1.1%	1.0%	1.2%	1.4%	1.1%	▼ (0.2%)
Capital Adequacy						
Core Capital/TRWA	21.3%	20.0%	18.5%	17.6%	15.8%	▼ (1.8%)
Total Capital /TRWA	22.8%	21.2%	19.3%	19.1%	17.3%	▼ (1.8%)
Liquidity	60.3%	58.9%	52.2%	52.6%	56.6%	▲ 4.0%



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